IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 92/230-232/PB/2021

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

J. H. JEWELS PRIVATE LIMITED
6/30, Street No. 6,
Near Mount Carmel School,
Shanti Niketan, New Delhi,
South Delhi, Delhi 110021

.....Applicant No. 1/Transferee Company

AND

DYNAMIC ENCLAVE PRIVATE LIMITED
6/30, Street No. 6,
Near Mount Carmel School,
Shanti Niketan, New Delhi,
South Delhi, Delhi 110021

.....Applicant No. 2/Transferor Company No. 1

AND

MAHARAJA TIE-UP PRIVATE LIMITED
6/30, Street No. 6,
Near Mount Carmel School,
Shanti Niketan, New Delhi,
South Delhi, Delhi 110021

.....Applicant No. 3/Transferor Company No. 2

AND

GANGAUR MANAGEMENT CONSULTANTS PRIVATE LIMITED
6/30, Street No. 6,
Near Mount Carmel School,

Shanti Niketan, New Delhi,
South Delhi, Delhi 110021

.....Applicant No. 4/Transferor Company No. 3

AND

SHIVSHAKTI COMMERCIAL PRIVATE LIMITED
6/30, Street No. 6,
Near Mount Carmel School,
Shanti Niketan, New Delhi,
South Delhi, Delhi 110021

.....Applicant No. 5/ Transferor Company No. 4

ORDER DELIVERED ON: 24.05.2022

CORAM:

MR. P. S. N. PRASAD, HON'BLE MEMBER (JUDICIAL)

MR. HEMANT KUMAR SARANGI, HON'BLE MEMBER (TECHNICAL)

For Petitioner(s): Adv. Arani Guha

ORDER

PER: MR. P.S.N. PRASAD, MEMBER (Judicial)

This is an application, filled by the Applicant Companies, under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act"), read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules"), in relation to the Scheme of Amalgamation (for brevity the "The Scheme"), proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act, the following prayers have been made for orders:-

a) *Meeting of the equity shareholders of Dynamic Enclave Private Limited (the Transferor Company No.1), Maharaja Tie-Up Private Limited (the Transferor Company No. 2), Gangaur Management Consultants Private Limited (the Transferor Company No. 3) and Shivshakti Commercial Private Limited (the Transferor Company No. 4), and J. H. Jewels Private Limited (the Transferee*

Company) be dispensed within view of the written consents given by the shareholders of the aforesaid Transferor Companies Nos. 1 to 4 and Transferee Company. The consent in the form of affidavits are annexed herewith and marked as "Annexure P to P4" respectively.

b) *Meeting of the unsecured creditors of Dynamic Enclave Private Limited (the Transferor Company No.1), Maharaja Tie-Up Private Limited (the Transferor Company No. 2), Gangaur Management Consultants Private Limited (the Transferor Company No. 3) and Shivshakti Commercial Private Limited For (the Transferor Company No. 4), and J. H. Jewels Private Limited (the Transferee Company) be dispensed within view of the written consent given by the unsecured creditors of aforesaid Transferor Companies Nos. 1 to 4 and Transferee Company. The consent in the form of affidavits are annexed herewith and marked as "Annexure Q to Q4" respectively.*

c) *To pass such further order/orders as this Hon'ble Tribunal may deem fit and proper in the circumstances.*

2. That the affidavits in support of the application sworn for and on behalf of the Applicant Companies have been filed by Mr. Amit Sankhwal and Ms. Priti Sankhwal being the authorized signatories.

3. That it is represented that the Scheme does not contemplate any reduction of share capital or corporate debt restructuring exercise, as contemplated under Section 230(2) of the Act. It is further represented that the application filed by the Applicant Companies is maintainable in view of Rule 3(2) of the Rules and it is also represented that the registered office of all the Applicant Companies are situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi.

4. That it is submitted that the proposed amalgamation is sought to be made under the provisions of Section 230 to 232 of the Companies Act,

2013 and the same, if sanctioned by this Tribunal, the appointed date as provided in the Scheme shall be **01.04.2020.**

5. That in relation to the Transferee Company, it has been represented that the company has 2 Equity Shareholders and consent affidavits from all the shareholders have been obtained, constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further submitted that the Transferee Company has NIL Secured and 4 Unsecured Creditors whose consent affidavits have been placed on record. In relation to the shareholders, secured and unsecured creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

6. That in relation to the Transferor Company No. 1, it has been represented that the company has 3 Equity Shareholders and consent affidavits from all the shareholders have been obtained, constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further submitted that the Transferor Company No. 1 has NIL Secured and 2 Unsecured Creditors, whose consent affidavits have been placed on record. In relation to the shareholders, secured and unsecured creditors, the Transferor Company No. 1 seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

7. That in relation to the Transferor Company No. 2, it has been represented that the company has 2 Equity Shareholders and consent affidavits from both the shareholders have been obtained, constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further submitted that the Transferor Company No. 2 has NIL Secured and 2 Unsecured Creditors, whose consent affidavits have been placed on record. In relation to the shareholders, secured and unsecured creditors, the Transferor Company

No. 2 seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

8. That in relation to the Transferor Company No. 3, it has been represented that the company has 2 Equity Shareholders and consent affidavits from both the shareholders have been obtained, constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further submitted that the Transferor Company No. 3 has NIL Secured and 2 Unsecured Creditors, whose consent affidavits have been placed on record. In relation to the shareholders, secured and unsecured creditors, the Transferor Company No. 3 seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

9. That in relation to the Transferor Company No. 4, it has been represented that the company has 3 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further submitted that the Transferor Company No. 4 has NIL Secured and 2 Unsecured Creditors whose consent affidavits have been placed on record. In relation to the shareholders, secured and unsecured creditors, the Transferor Company No. 4 seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

10. We have heard the Ld. Counsel for the Applicant Companies and perused the averments made in the application and the connected documents filed, along with the Scheme of Amalgamation contemplated between the Companies.

11. That the Transferee Company - J. H. JEWELS PRIVATE LIMITED was incorporated on 01.04.2010 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 1,00,000/- divided into 10,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is 1,00,000/- divided into 10,000 equity shares of Rs. 10/- each.

12. That the Transferor Company No. 1 - DYNAMIC ENCLAVE PRIVATE LIMITED was incorporated on 07.01.2008 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 22,00,000/- divided into 2,20,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 21,26,250/- divided into 2,12,625 equity shares of Rs. 10/- each.

13. That the Transferor Company No. 2 - MAHARAJA TIE-UP PRIVATE LIMITED was incorporated on 15.05.2007 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 78,00,000/- divided into 7,80,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 77,65,000/- divided into 7,76,500 equity shares of Rs. 10/- each.

14. That the Transferor Company No. 3 - GANGAUR MANAGEMENT CONSULTANTS PRIVATE LIMITED was incorporated on 08.05.2010 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 2,75,000/- divided into 27,500 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 2,65,000/- divided into 26,500 equity shares of Rs. 10/- each.

15. That the Transferor Company No. 4 - SHIVSAKTI COMMERCIAL PRIVATE LIMITED was incorporated on 05.11.2007 in the state of Delhi

under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 23,00,000/- divided into 2,30,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 22,15,000/- divided into 2,21,500 equity shares of Rs. 10/- each.

16. It is seen that the Board of Directors of all the Applicant Companies vide meetings held on 27.02.2021 have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed have been placed on record.

17. That the Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2021.

18. That the Applicant Companies have submitted, vide Affidavit dt. 16.04.2022, that no inspection, inquiry or investigation is pending against any of the Applicant Companies.

19. That the Certificate of respective statutory auditors of the Applicant Companies have been placed on record, confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

20. Share Valuation Report dated 26.02.2021, obtained from Registered Valuer, has also been placed on record.

21. In sequel to the above, in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders, if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditors or class of creditors, where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given: -

A. In relation to the Transferee Company:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditors have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

B. In relation to the Transferor Company No. 1:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting of shareholders is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditors have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting of Unsecured Creditors is dispensed with.

C. In relation to the Transferor Company No. 2:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditors have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

D. In relation to the Transferor Company No. 3:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditors have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

E. In relation to the Transferor Company No. 4:

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditors have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

22. **Accordingly, in terms of the above order, CA (CAA) 92 (PB) of 2021 is allowed.**

-Sd-

(HEMANT KUMAR SARANGI)
Member (T)

-Sd-

(P. S. N. PRASAD)
Member (J)

Pronounced today under Rule 151 of the NCLT Rules 2016 as Hon'ble Member (J), Shri P. S. N. Prasad is holding another court today and will not be able to attend this court.

For **COURT OFFICER**